

General Lease Requirements

Leases establish the covenants (or promises) between the parties. They are a type of contract, and as such, they must follow the same terms as other contracts. These include:

- **The capacity to contract.** This means that the person signing the lease must be a competent, sane adult. A lease to a person who is incompetent in the eyes of the law can be voided by that person.
- **A demising clause.** This is a clause that states when the landlord will lease the property and when the tenant will take possession of the property, which is known as "the demised premises."
- **A description of the premises.** This should include the street address and unit number. For long-term leases, it's prudent to also include the legal description.
- **A clear statement of the "term" or length of the lease.** There should be no room for interpretation between the parties. The expiration date and termination method must be stated.
- **Specification of rent and how it is to be paid (consideration).** Unless the lease provides otherwise, rent is due in arrears, similar to the way a mortgage payment is paid. This means that the tenant will pay for rent after having lived there a month. Most landlords dislike this, and therefore most leases stipulate that the tenant will pay rent in advance. If rent is the landlord's consideration, what is the tenant's consideration? It is possession and the right to quietly enjoy the property.
- **Long-term leases must be in writing.** The statute of frauds requires that leases longer than a year be in writing to be legally enforceable. Shorter-term leases may also be in writing, but that is not required for the lease to be legally binding. However, all leases should be in writing, no matter their term. This protects the interests of both parties. For written leases, both parties should sign the lease. The signatures do not need to be notarized unless the lease will be recorded, in which case the signatures should be notarized. In some localities, leases of any length must be in writing, so be sure to know the rules in your area.
- **Contracts must be signed by all parties.** This includes leases. The signature of the parties is their acknowledgement of their agreement to abide by the lease terms. If recorded, the lease must be signed, and the signatures must be notarized. Notarization is not required for unrecorded leases. Why would a lease need to be recorded? Recordation provides constructive notice of the tenant's rights if there is a sale or a mortgage of the property or a death of the landlord. Shorter-term leases are not recorded, because the tenant's possession of the property is constructive notice of the tenant's rights.
- **Residential leases must be written in plain language.** This means clear, easily understandable, everyday language (not legalese). In addition, the lease text must be divided and captioned according to provision.
- **Use provisions must be included.** "Use" means how the tenant will use the property and what activities will be allowed. A residential lease will provide that the tenant may use the premises reasonably for its intended purpose. A commercial lease often allows the premises to be used "for any lawful purpose," provided the use does not violate any private deed restriction or that is out of character for the area. In commercial leases, the use provision is frequently a point of negotiation. A commercial lease may not state "for any lawful purpose" but instead may state "for no other purpose" than the one set forth in the lease. With a **land lease**, the contract will often state that it allows the lessee the right to use land for any purpose for a specified period. A land lease would not, however, grant the lessee the right to contaminate the land and may not allow drilling or mining operations, for instance.
- **Leases are usually expressed in annual terms.** However, the term may be for six months, or it may be month-to-month or any duration the parties have agreed upon.
- **Renewal of leases** may be automatic or may require the landlord's consent (except for rent-regulated apartments, which we'll discuss later). Commercial leases often provide for renewals or options to renew. Because of the expense in moving a commercial enterprise, most commercial tenants want an **option to renew** written into the lease. An option to renew sets forth the method for renewal and the terms of the renewed lease.